

Wealth Strategy Snapshot

Educational Analysis · 2026 Tax Year Planning
Prepared for Casey & Spouse Hayden
March 2026 | Educational scenario modeling for discussion with licensed professionals
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Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to the Hayden household financial profile. As a real estate investor household with current income under \$75K, the most significant near-term opportunity is the low marginal tax bracket window — enabling Roth conversions of existing retirement accounts (TSP, 457B) at approximately 17% combined rates before rental income scales. Entity formation, REPS qualification, and strategic property acquisition are modeled as the primary wealth-building levers for 2026.

Key OBBBA provisions (signed July 4, 2025) that affect this analysis include: permanent 100% bonus depreciation for property acquired after January 19, 2025, expanded Section 179 (\$2,500,000 limit), increased SALT cap (\$40,000), increased Child Tax Credit (\$2,200/child), and a new non-itemizer charitable deduction (\$2,000 MFJ).

Across six value categories — tax optimization, investment income, projected appreciation, real estate, cash flow, and wealth positioning — this snapshot models potential first-year value ranging from **\$44,587** (conservative scenario) to **\$232,955** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Current Financial Position

Household Profile

Filing Status	Married Filing Jointly
Ages	34 (both under 50 — no catch-up contributions)
Dependents	2 children + other adult family
Location	Sandoval County, New Mexico

Primary Income	Real estate investor (<\$75K)
Business Entity	None yet (interested in LLC)
Time Available	15+ hours/week
Risk Tolerance	Moderately aggressive (growth-focused)

Balance Sheet Snapshot

Net Worth Range	\$250K–\$499K
Home Equity	\$100K+ (own home)
Liquid Capital	\$50K–\$100K
Monthly Expenses	~\$4,762
Emergency Fund	4–6 months
Credit Score	760+
Existing Rentals	2–3 properties (LTR, 12+ mo.)
Retirement Accounts	TSP, 457B (interested in Roth conversion)

Upcoming Income Change: GI Bill education benefit of approximately \$1,200/month beginning April 2026 (~\$10,800 for Apr–Dec 2026). **Note:** GI Bill payments are generally tax-exempt and do not count as earned income for IRA/401(k) contribution eligibility. Verify with CPA.

Estimated 2026 Marginal Tax Rate

Component	Rate	Notes
Federal Marginal Rate	12%	MFJ taxable income under \$100,800 (2026 per Rev. Proc. 2025-32)
New Mexico State Rate	~4.9%	NM progressive rate schedule (4.9% on \$24,001–\$315,000 MFJ)
Combined Marginal Rate	~17%	Low bracket = Roth conversion window

Standard Deduction (2026 MFJ): \$32,200 per Rev. Proc. 2025-32 (includes OBBBA boost).

⚠️ **Critical: Earned Income Limitation.** Current rental income is passive (Schedule E) and does not qualify as earned/SE income. IRA contributions and Solo 401(k) contributions require earned income. Establishing a property management LLC generating Schedule C income may resolve this — discuss structuring with CPA and attorney before contributing.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Week 1–2	Week 3–4
• CPA & attorney selection — interview professionals experienced in RE investor tax strategy and entity formation in NM • Inventory all existing retirement accounts: TSP balances, 457B balances, any other accounts. Request current statements • Evaluate HDHP health insurance options for potential HSA eligibility (currently no HDHP) • LLC formation discussion — NM requirements, management company structure to generate SE income from existing rentals • REPS hour-tracking system — begin documenting all RE activities (750+ hrs needed). Discuss qualification criteria with CPA • Home office: measure dedicated room, photograph space, document exclusive business use	• Roth conversion strategy: discuss with CPA optimal annual conversion amount to stay within 12% federal bracket (up to \$100,800 MFJ taxable income for 2026) • RE acquisition planning: define criteria, target markets, financing approach. Review BRRRR strategy feasibility with mentor/agent • Vehicle: research business-use vehicle options; plan mileage log system before purchase • Investment account setup: brokerage account considerations for non-retirement capital deployment • Augusta Rule: research comparable rental rates for home (FMV documentation) for future business rental days • Funding strategy discussion: home equity, retirement account options (TSP loan vs. distribution), and cash reserves for next property

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Casey's Opportunity
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Traditional/Roth IRA	\$7,000 (+\$1,000 if 50+)	April 15, 2026	Requires earned income from 2025 — verify with CPA whether any W-2 or SE income existed
HSA Contributions	\$8,550 family / \$4,300 individual (+\$1,000 if 55+)	April 15, 2026	Not available — no HDHP enrolled in 2025
Solo 401(k) Employer Portion	25% of net SE income (plan must already exist)	Tax filing + extensions	Not available — no Solo 401(k) plan established in 2025
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Requires SE income from 2025 — verify with CPA

No Longer Available for 2025: Employee 401(k) deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return. If Roth conversion of TSP/457B was initiated in 2025, ensure it is reported correctly on your 2025 return.

2026 Tax Optimization Strategies to Explore

The following strategies are presented for educational purposes. Eligibility and implementation must be verified with a qualified CPA. All values use 2026 IRS limits and incorporate OBBBA provisions where applicable.

CRITICAL Strategy Concept: LLC Formation (Management Company)

Potential Value: Foundational — enables all other strategies below

What It Is: A management company LLC structured to provide property management services to your rental properties, generating Schedule C self-employment income. This is the gateway to Solo 401(k) eligibility, Augusta Rule usage, and other deductions that require an active business.

How It Works:

1. Form single-member or multi-member LLC in NM (typically \$50 filing fee, no annual report fee in NM)
2. Management company invoices rental properties for services (industry standard: 8–12% of gross rents)
3. Income received by LLC is Schedule C / SE income — unlocking retirement contributions and business deductions

Eligibility Criteria: Must provide legitimate management services; maintain separate books, bank account, and operating agreement. Reasonable management fees based on market comparables.

Entity formation has legal and tax implications. Discuss structure (SMLLC vs. multi-member, S-Corp election timing) with both attorney and CPA before filing. NM-specific rules apply.

CRITICAL Strategy Concept: Roth Conversion Ladder (TSP / 457B)

Potential Value: \$2,400 – \$4,800/year in tax arbitrage (converting at 12% vs. potentially 22–24%+ later)

What It Is: Systematically converting pre-tax retirement funds (TSP, 457B) to Roth IRA while in the 12% federal bracket. The tax arbitrage compounds — every dollar converted at 12% that would otherwise be taxed at 22%+ in retirement represents a 10%+ permanent savings.

How It Works:

1. Determine remaining room in 12% bracket after other income (2026: up to \$100,800 MFJ taxable income per Rev. Proc. 2025-32)

2. Convert that amount from TSP/457B to Roth IRA each year — pay 12% federal + ~4.9% NM now
3. Roth grows tax-free; withdrawals in retirement are tax-free. Model: \$20,000–\$40,000/year in conversions

Eligibility Criteria: Must have separated from federal service to roll TSP to Roth IRA (or use in-plan Roth conversion if available). 457B may have different rollover rules — verify with plan administrator.

Roth conversions are taxable events. Calculate the optimal conversion amount annually with your CPA to avoid jumping brackets. 2026 bracket thresholds verified per Rev. Proc. 2025-32.

CRITICAL Strategy Concept: Real Estate Professional Status (REPS)

Potential Value: Converts RE paper losses from passive to non-passive — enables cost seg and depreciation offsets against other income

What It Is: IRS designation allowing RE losses to offset non-passive income (W-2, SE, conversion income). With 15+ hours/week indicated and 2–3 existing rentals, the 750-hour threshold and material participation tests may be achievable.

How It Works:

1. Qualify: 750+ hours in RE trades/businesses AND more time in RE than any other occupation
2. Materially participate in each rental (or elect to group all rentals as single activity)
3. RE depreciation and losses become non-passive — can offset Roth conversion income, SE income, etc.

Eligibility Criteria: 750+ hours documented (contemporaneous log required). RE activities include: property management, maintenance, tenant relations, acquisition research, education, travel to properties. One spouse can qualify the household.

REPS is a frequent audit target. Maintain a contemporaneous hour log with dates, activities, and durations. Discuss grouping election (Sec. 469) with your CPA.

HIGH Strategy Concept: Augusta Rule (Section 280A)

Potential Value: \$850 – \$1,666 in tax savings (\$5,000 – \$9,800 in tax-free income)

What It Is: A business (the management LLC) rents your personal home for up to 14 days/year for legitimate business meetings or planning sessions. The rental income is tax-free to you; the rent is a deductible business expense for the LLC.

How It Works:

1. Document fair market rental value (get comparable quotes from event venues in Sandoval County)
2. Hold documented business meetings/strategy sessions (agendas, minutes, attendee lists)
3. LLC pays personal residence \$500–\$700/day × 10–14 days = \$5,000–\$9,800 tax-free income; LLC deducts same

Eligibility Criteria: Must have an active business entity. Meetings must be bona fide business purpose. 14-day maximum per year. Fair market value must be documented and reasonable.

Maintain thorough documentation: rental agreement, FMV evidence, meeting agendas, minutes, and photos. Verify implementation details with your CPA. 2026 limits shown.

HIGH Strategy Concept: Home Office Deduction

Potential Value: \$255 – \$340 in tax savings

What It Is: Dedicated room used exclusively for business qualifies for simplified deduction (\$5/sq ft, up to 300 sq ft = \$1,500 max) or actual expense method. At a 17% marginal rate, the simplified method yields up to \$255 in tax savings.

How It Works:

1. Measure dedicated room; photograph space showing exclusive business use
2. Simplified method: $\$5 \times \text{square footage (max 300 sq ft)} = \text{up to } \$1,500 \text{ deduction}$
3. Actual method may yield more — proportional share of mortgage interest, insurance, utilities, repairs

Eligibility Criteria: Exclusive and regular use for business. Dedicated room confirmed in intake. Requires active business (LLC).

The actual expense method requires detailed records. Compare both methods with your CPA to determine optimal approach.

HIGH Strategy Concept: Vehicle Expense (2026: 72.5¢/mile)

Potential Value: \$616 – \$1,479 in tax savings

What It Is: Business mileage for property management, inspections, tenant meetings, and RE-related travel. At 72.5¢/mile (2026 rate) and 17% marginal rate, every 1,000 business miles generates ~\$123 in tax savings.

How It Works:

1. Begin mileage log from day one of business vehicle use (app-based tracking recommended)
2. Conservative: $5,000 \text{ miles} \times \$0.725 = \$3,625 \text{ deduction} \times 17\% = \616 savings
3. Aggressive: $12,000 \text{ miles} \times \$0.725 = \$8,700 \text{ deduction} \times 17\% = \$1,479 \text{ savings}$

Eligibility Criteria: Business-use vehicle (planning to purchase per intake). Mileage log must include date, destination, business purpose, and odometer readings. Personal commute miles excluded.

The IRS requires contemporaneous mileage records. Digital mileage tracking apps provide audit-ready documentation. Discuss mileage vs. actual expense method with CPA. 2026 rate: 72.5¢/mile.

MEDIUM Strategy Concept: Cost Segregation + REPS + 100% Bonus

Depreciation OBBBA

Potential Value: Up to \$6,430 in Year 1 tax savings (capped by liability; excess carries forward)

What It Is: An engineering study that reclassifies building components (appliances, fixtures, landscaping, etc.) from 27.5-year to 5-, 7-, or 15-year depreciation. Under OBBBA, 100% bonus depreciation is permanently restored for property acquired and placed in service after January 19, 2025 — meaning reclassified components can be fully deducted in Year 1. Combined with REPS, these losses become non-passive.

How It Works:

1. Acquire property (\$350K–\$400K modeled) and commission cost segregation study (\$3,000–\$5,000 typical cost)
2. Determine building basis: subtract estimated land value (~20%) from purchase price. On a \$375K property, building basis is approximately \$300,000
3. Study reclassifies 25–40% of building basis to shorter-lived components: \$75,000–\$120,000 eligible for 100% bonus depreciation in Year 1
4. Remaining building basis (\$180,000–\$225,000) depreciates over 27.5 years via straight-line (~\$6,500–\$8,200/year)
5. Total Year 1 depreciation: \$81,500–\$128,200. At 17% combined rate, potential tax benefit of \$13,855–\$21,794. However, actual Year 1 benefit is capped by estimated total tax liability (~\$6,430). Remaining losses carry forward to offset future income as bracket rises

Eligibility Criteria: REPS status (to make losses non-passive). Property must be placed in service. Cost seg study by qualified firm. Property must be acquired after January 19, 2025 for 100% bonus depreciation under OBBBA.

Cost segregation carries audit documentation requirements. The carryforward benefit grows significantly as income and tax bracket increase. Discuss timing and sequencing with your CPA. For property acquired on or before January 19, 2025, TCJA phase-down rates apply instead (40% for 2025, 20% for 2026).

MEDIUM Strategy Concept: Section 179 Equipment Deduction OBBBA

Potential Value: \$340 – \$1,700 in tax savings

What It Is: Immediate expensing of qualifying business equipment: camera/video/content creation equipment (\$2,000–\$10,000 indicated), computers, tools, etc. instead of depreciating over multiple years. OBBBA expanded the maximum Section 179 deduction to \$2,500,000 (phase-out begins at \$4,000,000), though this limit far exceeds what applies to the Hayden profile.

How It Works:

1. Purchase qualifying equipment for business use (property management documentation, content creation for RE business)
2. Elect Section 179 to deduct full cost in year of purchase: $\$2,000 - \$10,000 \times 17\% = \$340 - \$1,700$ tax savings
3. Maintain records of business use percentage (must be $>50\%$ business use)

Eligibility Criteria: Active business entity. Equipment used predominantly ($>50\%$) for business. Section 179 deduction limited to business taxable income.

Document business use percentage for each item. Discuss Section 179 vs. bonus depreciation with your CPA.

MEDIUM Strategy Concept: Non-Itemizer Charitable Deduction

OBBBA — NEW

Potential Value: Up to \$340 in tax savings

What It Is: Beginning in 2026, OBBBA allows non-itemizers to deduct cash charitable contributions of up to \$1,000 (single) / \$2,000 (married filing jointly) above the line. For the Hayden household taking the standard deduction, this is a new tax benefit.

How It Works:

1. Make cash charitable contributions to qualifying organizations during 2026
2. Deduct up to \$2,000 MFJ as an above-the-line deduction (no need to itemize)
3. Tax savings: $\$2,000 \times 17\% = \340

Eligibility Criteria: Must take the standard deduction. Cash contributions only (not property or stock). Must be to qualifying 501(c)(3) organizations. Requires receipts for all contributions.

This is a new provision under OBBBA effective for 2026. Verify implementation details with your CPA.

Primary Strategy Education: The RE Professional + Roth Conversion Combination

The Hayden household profile presents a distinctive strategic window worth understanding in depth: the combination of low current taxable income, existing pre-tax retirement accounts, and active real estate involvement creates a multi-year opportunity that narrows as income grows.

How the Combination Works (Educational Illustration)

Phase 1: Entity & Foundation (2026 Q1–Q2)

Management LLC generates SE income from existing 2–3 rental properties. This SE income unlocks: Solo 401(k) establishment, Roth IRA contribution eligibility, and legitimate business deductions (home office, vehicle, Augusta Rule, equipment).

Phase 2: Roth Conversion Ladder (2026 Ongoing)

With SE income modest and total household income still in the 12% federal bracket, the "room" between current taxable income and the top of the 12% bracket (\$100,800 MFJ taxable income for 2026 per Rev. Proc. 2025-32) represents conversion capacity. Converting \$20,000–\$40,000 annually from TSP/457B to Roth at 12% — when these funds might otherwise be taxed at 22%+ in later years — creates permanent tax arbitrage of 10%+ on every dollar converted.

Phase 3: REPS + Cost Seg Shield (2026 Q3–Q4 upon property acquisition)

With 15+ hrs/week in RE and no competing W-2 occupation, REPS criteria may be met. Acquiring a property with cost segregation generates accelerated depreciation losses. Under OBBBA, 100% bonus depreciation applies to reclassified components (property acquired after Jan 19, 2025). Under REPS, these losses become non-passive — they can offset the Roth conversion income, effectively shielding conversions from tax. Result: convert retirement funds to Roth and use RE paper losses to reduce or eliminate the tax on those conversions.

Illustrative Year-Over-Year Impact

Year	Conversion Amount (Modeled)	Tax Without REPS Losses	Tax With REPS + Cost Seg Losses	Potential Savings
2026	\$30,000	~\$5,100	\$0–\$1,500 (losses offset income)	\$3,600–\$5,100
2027	\$35,000	~\$5,950	\$0–\$2,000 (carryforward losses)	\$3,950–\$5,950
2028	\$40,000	~\$6,800	\$1,000–\$3,000 (diminishing losses)	\$3,800–\$5,800

Illustrative model only. Actual conversion amounts, tax liability, and loss availability depend on income levels, cost seg study results, bonus depreciation rates, and other factors. Verify annually with CPA.

Funding the Next Property — Discussion Points

The intake specifically asked about funding sources for the next investment property. Common approaches include:

Funding Source	Considerations	Discussion Point for CPA/Advisor
Home Equity (HELOC)	\$100K+ equity available; interest may be deductible if used for investment property	Interest deductibility rules for investment-use HELOC proceeds; impact on DTI for property financing
TSP Loan	Borrow from TSP without tax event; repayment required	Opportunity cost (funds not growing), repayment schedule, separation-from-service implications
Cash Reserves	\$50–100K available; preserves leverage and avoids debt	Balance between deployment and maintaining emergency reserves (currently 4–6 months)
Self-Directed IRA	TSP could roll to self-directed IRA for RE investment	SDIRA rules are strict (no self-dealing, UBTI concerns). Compare to Roth conversion + invest personally

Each funding approach has distinct tax, legal, and financial implications. Discuss the trade-offs with your CPA, attorney, and financial advisor before selecting a strategy. This is not a recommendation for any specific approach.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Modeled Capital: \$75,000 (midpoint of \$50–100K deployable range indicated in intake)

Profile Factors Considered: Moderately aggressive risk tolerance. Goals: growth + passive income from RE, with interest in not returning to 9-5. Time: 15+ hours/week available. Capital: \$50–100K range.

Asset Class	Scenario %	Illustrative Amount	Educational Rationale
Bitcoin (BTC)	55%	\$41,250	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. At 55%, this reflects the moderately aggressive, growth-focused profile while maintaining diversification.
STRC	25%	\$18,750	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. This allocation supports the stated passive income goal.
VTI / VOO	20%	\$15,000	VTI offers broad U.S. equity exposure at low cost (0.03% expense ratio); VOO tracks the S&P 500. This provides portfolio stability and traditional equity diversification.

Important: This scenario models one approach based on the moderately aggressive profile and growth + passive income goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Verify current STRC yield at time of investment — historical yields are not guaranteed. Past performance does not guarantee future results.

Modeled First-Year Value Summary (2026 Tax Year)

Capital Deployed: \$75,000 (both scenarios). Scenarios differ by RE inclusion, strategy scope, and appreciation assumptions. Incorporates OBBBA provisions where applicable.

Category	Item	Conservative	Aggressive	Notes
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	Home Office Deduction	\$255	\$340	\$1,500 simplified × 17%; actual method may yield \$2,000 × 17%
Tax	Vehicle Expense (72.5¢/mile)	\$616	\$1,479	5,000–12,000 business miles × \$0.725 × 17%
Tax	Section 179 Equipment	\$340	\$1,700	\$2,000–\$10,000 equipment × 17% (limit expanded to \$2.5M under OBBBA)
Tax	Augusta Rule	\$850	\$1,666	\$500–700/day × 10–14 days × 17%
Tax	Non-Itemizer Charitable Deduction	\$0	\$340	Up to \$2,000 MFJ × 17% (NEW under OBBBA)
Tax	REPS + Cost Segregation (100% Bonus Dep)	\$0	\$6,430	Aggressive only; capped at est. tax liability. Building basis method. Excess carries forward. OBBBA
Tax Optimization Subtotal		\$2,061	\$11,955	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (10–12%)	\$1,875	\$2,250	\$18,750 × 10% (cons.) / 12% (agg.)
Income	VTI/VOO Dividends (1.5–2%)	\$225	\$300	\$15,000 × 1.5% (cons.) / 2% (agg.)
Investment Income Subtotal		\$2,100	\$2,550	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				

Growth	Bitcoin Appreciation (25–50%)	\$10,313	\$20,625	\$41,250 × 25% (cons.) / 50% (agg.)
Growth	STRC Appreciation (15–30%)	\$2,813	\$5,625	\$18,750 × 15% (cons.) / 30% (agg.)
Growth	VTI/VOO Appreciation (8–12%)	\$1,200	\$1,800	\$15,000 × 8% (cons.) / 12% (agg.)
	Appreciation Subtotal	\$14,326	\$28,050	

CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY)

RE	LTR/STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (3–6%)	\$0	\$15,000	~4% on \$375,000 midpoint property
RE	Mortgage Principal Paydown (Yr 1)	\$0	\$4,500	Equity build on amortization schedule
	Real Estate Subtotal	\$0	\$49,500	Conservative = no RE acquisition

CATEGORY E: CASH FLOW IMPROVEMENTS

Cash Flow	W-4 Optimization	\$0	\$0	N/A — no W-2 income
Cash Flow	Debt Interest Savings	\$0	\$0	No debt payoff currently modeled
	Cash Flow Subtotal	\$0	\$0	

CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)

Wealth	Roth Conversion (TSP/457B repositioned at 12%)	\$20,000	\$40,000	Converted at 12% federal; grows tax-free
Wealth	Augusta Rule Income Received (tax-free)	\$5,000	\$9,800	14-day rule; personal income to household
Wealth	Roth IRA Contributions (×2 spouses)	\$0	\$15,000	\$7,500 × 2; requires SE income (via LLC)
Wealth	RE Equity Position (down payment)	\$0	\$75,000	20% down on ~\$375K property

Wealth	Child Tax Credit Increase (OBBBA)	\$1,100	\$1,100	\$200 increase × 2 children vs. prior \$2,000/child (now \$2,200). Both scenarios. OBBBA
	Wealth Building Subtotal	\$26,100	\$140,900	
	TOTAL MODELED FIRST-YEAR VALUE (2026)	\$44,587	\$232,955	

Totals Verification:

Conservative: $\$2,061 + \$2,100 + \$14,326 + \$0 + \$0 + \$26,100 = \$44,587 \checkmark$
 Aggressive: $\$11,955 + \$2,550 + \$28,050 + \$49,500 + \$0 + \$140,900 = \$232,955 \checkmark$

Important Disclosures: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions. Verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

The following dates are for planning awareness. Verify all deadlines with your tax professional.

Date	Awareness Item	Relevance
April 15, 2026	Last day for 2025 IRA/HSA contributions	If earned income existed in 2025, 2025 Roth IRA may still be funded
April 2026	GI Bill income begins (~\$1,200/mo)	Tax-exempt; does not count as earned income for IRA purposes
Q1–Q2 2026	LLC formation window	Earlier formation = more months of SE income for Solo 401(k) and Roth IRA eligibility
Ongoing 2026	REPS hour tracking	750+ hours must be documented by Dec 31, 2026 for 2026 tax year
Q3 2026	Roth conversion planning	Review income mid-year with CPA to determine remaining bracket room (12% bracket: up to \$100,800 MFJ taxable income)
Dec 31, 2026	Solo 401(k) establishment deadline	Plan must be established by Dec 31, 2026 to make 2026 employee deferrals
Dec 31, 2026	401(k) employee contributions	Employee deferrals for 2026 must be made by Dec 31
Dec 31, 2026	Tax-loss harvesting / Roth conversions	Both must be completed in calendar year
April 15, 2027	Last day for 2026 IRA/HSA contributions	Roth IRA ($\$7,500 \times 2$) and HSA (if HDHP enrolled) can be contributed for 2026
Oct 15, 2027	Solo 401(k) employer portion (with extension)	Employer contributions for 2026 can be made up to extended filing deadline

Questions for Your Professional Team

Bring these questions to your initial consultations to ensure alignment between strategies and your specific situation.

For Your CPA

- "Based on our rental income and entity structure options, what is the optimal way to generate SE income from our existing properties for 2026?"
- "Given our current 12% federal bracket (up to \$100,800 MFJ taxable income for 2026), what is the maximum amount we can convert from TSP/457B to Roth in 2026 without jumping to the 22% bracket?"
- "Do we have any earned income from 2025 that would allow a 2025 Roth IRA contribution before April 15, 2026?"
- "If we qualify for REPS, can cost segregation losses (with 100% bonus depreciation under OBBBA) offset Roth conversion income? How should we sequence property acquisition and conversions?"
- "What documentation standards do you require for Augusta Rule, REPS hours, and mileage to be audit-defensible?"
- "Do we qualify for the new non-itemizer charitable deduction (\$2,000 MFJ) under OBBBA?"

For Your Attorney

- "What entity structure (SMLLC, multi-member LLC, series LLC) is most appropriate for our management company in New Mexico?"
- "Should our rental properties be held in a separate entity from the management company? What asset protection does this provide?"

For Your Financial Advisor

- "Based on our goal of replacing W-2 income with RE cash flow, how should we balance liquid investment deployment vs. RE acquisition down payments?"
- "What is the optimal rollover path for our TSP and 457B accounts — direct rollover to Roth IRA, or rollover to traditional IRA first?"

Professional Team Considerations

Implementation of these strategies typically involves coordination among several professionals. The intake indicated no current CPA — this is the first priority.

Professional	Role in This Snapshot	What to Look For
CPA / Tax Strategist	Entity structuring, Roth conversion planning, REPS documentation, cost seg coordination, Augusta Rule compliance, OBBBA provisions, all tax strategy verification	Experience with RE investors, cost segregation, REPS status. Proactive (not just compliance). Familiar with NM state tax.
Real Estate Attorney	LLC formation, operating agreements, asset protection, property acquisition contracts	NM-licensed. Experience with RE investor entity structures. Understands series LLC if applicable.
Licensed Financial Advisor	Investment scenario implementation, retirement account rollover coordination, portfolio construction	Fee-only or fee-based fiduciary. Experience with TSP rollovers and self-directed strategies.
RE Mentor / Agent	Property acquisition (BRRRR strategy interest noted), market analysis, deal evaluation	Active investor in target market. Experience with BRRRR or co-hosting models.
Insurance Professional	HDHP evaluation for HSA eligibility, landlord/umbrella policies, entity insurance	Can evaluate HDHP options that also make financial sense for HSA contribution benefits.

Milestone Checkpoints (2026)

These milestones are considerations for tracking progress, not requirements. Adjust timing based on professional guidance.

Quarter	Milestone Consideration	Status Check
Q1 2026	Professional team assembled; LLC formation initiated; REPS hour tracking begun; 2025 tax return filed with any prior-year opportunities captured	Entity filed? CPA engaged? Hour log started?
Q2 2026	LLC operational and generating SE income; first Roth conversion discussed with CPA; property acquisition criteria defined; HDHP/HSA evaluated	SE income flowing? Conversion executed? Insurance reviewed?

Q3 2026	Mid-year tax review with CPA; adjust conversion amounts; property acquisition progress; investment accounts funded; REPS hours on track (~375+ by June 30)	On pace for 750 hrs? Portfolio deployed? Mid-year bracket check done?
Q4 2026	Solo 401(k) established (if not already); final Roth conversion for year; 401(k) employee deferrals made; year-end REPS documentation compiled; cost seg study ordered if property acquired	All deadlines met? Documentation complete? Tax projections run?

Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed Professionals Before Implementation

Educational Resources

2026 Contribution Limits Reference (Quick Reference)

Account Type	Base Limit	Catch-Up (50+)	Super Catch-Up (60–63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A
SEP IRA	25% of comp, up to \$72,000	N/A	N/A

Business mileage rate for 2026: 72.5¢/mile. Casey & spouse are age 34 — no catch-up contributions apply. SECURE 2.0 Roth catch-up mandate (for \$150K+ earners) does not currently apply but should be monitored as income grows. OBBBA made the 20% QBI deduction for pass-through businesses permanent. Verify all limits at IRS.gov or with your tax professional.

OBBBA Key Provisions Summary (Signed July 4, 2025)

Provision	Detail	Relevance to Hayden
100% Bonus Depreciation (Permanent)	Restored for property acquired after Jan 19, 2025	Cost seg on new acquisitions fully deductible Year 1
SALT Cap: \$40,000	Raised from \$10,000	Limited relevance at current income; monitor as income grows
Section 179: \$2,500,000	Expanded from \$1,000,000; phase-out at \$4,000,000	Equipment deductions well within limit
Child Tax Credit: \$2,200/child	Up from \$2,000; now indexed for inflation	2 children = \$4,400 CTC (refundable portion: \$1,700)
Non-Itemizer Charitable: \$2,000 MFJ	New above-the-line deduction for standard deduction filers	Up to \$340 tax savings if \$2,000+ in charitable gifts

TCJA Rates Made Permanent	7-bracket structure (10%-37%) permanent	Bracket planning has long-term stability
QBI Deduction Permanent	20% pass-through deduction made permanent	Applies to LLC income once operational
Standard Deduction: \$32,200 MFJ	Includes OBBBA boost + inflation adjustment	Used in all bracket calculations above

Key IRS Publications for Reference

Topic	IRS Resource
Home Office Deduction	Publication 587 — Business Use of Your Home
Rental Real Estate	Publication 527 — Residential Rental Property
Self-Employment Tax	Publication 334 — Tax Guide for Small Business
Retirement Plans (Solo 401k)	Publication 560 — Retirement Plans for Small Business
Vehicle Expenses	Publication 463 — Travel, Gift, and Car Expenses
Roth Conversions	Publication 590-A/590-B — IRA Contributions/Distributions
Passive Activity Rules / REPS	Publication 925 — Passive Activity and At-Risk Rules

For educational reference only. Tax code is complex and changes regularly. Always consult your CPA for interpretation specific to your situation.

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed Professionals Before Implementation

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